

Action Summary – 5 May 2026

Analyst Theodore R. O'Neill – 1Q26 Review – Raising price target to \$322 from \$265 and reiterate our Buy Rating

Another better-than-expected quarterly report. Relative to consensus, 1Q26 results were better than expected. Revenue came in at \$178.5MM versus the consensus of \$172.1MM. Non-GAAP EPS came in at \$1.81 versus the consensus of \$1.62. From our viewpoint, we look at Net earnings rather than Earnings attributable to Bel Fuse shareholders because those adjustments don't align with the day-to-day business of the company. Compared to our estimates (see Figure 3), GAAP EPS had a \$0.52 unfavorable variance. However, if you adjust for either the change in redeemable NCI or acquisition costs from the dataMate acquisition or both, the variance becomes favorable.

Another 39% gross profit margin quarter. Since 2021, the financial performance of the company has improved, and at the same time, the variability that was once an issue for the shares is a driving force. This is a recipe for stock outperformance. From 1996-2011, the company reported a declining gross profit with an average gross profit margin of 28% with a 6.4 percentage point standard deviation. From 2011-2020, the standard deviation improved to only 2.1 percentage points, but the average margin shrank to 24%. Since 2021, the margins have been rising steadily, hitting a record of 39.15% in 2025. Yes, the standard deviation over that period is back to 6 percentage points, but unlike the 1996-2011 time period, the margins are going up, not down.

Revision to estimates and price target. For 2026, we are raising our revenue and EPS estimates to \$780.5MM and \$7.36, respectively, up from \$712MM and \$6.69, respectively. For 2027, we are raising our revenue and EPS estimates to \$817MM and \$8.43, respectively, up from \$751MM and \$7.52, respectively. These adjustments lead us to revise our price target to \$322 from \$265.

5/4/2026 price: \$286.69	Combined Class A&B Market cap: \$3.6 billion	2027 P/E: 30.3x	2027 EV/Sales: 4.96x
Class B shares outstanding: 10.6 million	Insider ownership: 3%	3-mo. avg. trading volume: >100,000	Dividend/Yield: \$0.28/0.1%

GAAP estimates (EPS in dollars – Revenue in USD millions)

Period	EPS	Revenue	Op Margin
1Q24A	\$1.26	\$128.1	14.0%
2Q24A	\$1.50	\$133.2	17.0%
3Q24A	\$0.65	\$123.6	9.3%
4Q24A	(\$0.14)	\$149.9	8.3%
FY24A	<u>\$3.28</u>	<u>\$534.8</u>	<u>12.0%</u>
1Q25A	\$1.43	\$152.2	16.4%
2Q25A	\$2.14	\$168.3	17.7%
3Q25A	\$1.77	\$178.9	16.9%
4Q25A	(\$0.43)	\$175.9	14.7%
FY25A	<u>\$4.91</u>	<u>\$675.5</u>	<u>16.4%</u>
1Q26A	\$1.19	\$178.5	13.3%
2Q26A	\$2.05	\$200.0	17.7%
3Q26A	\$2.18	\$205.0	18.3%
4Q26E	<u>\$1.94</u>	<u>\$197.0</u>	<u>17.1%</u>
FY26E	<u>\$7.36</u>	<u>\$780.5</u>	<u>16.7%</u>
FY27E	\$8.43	\$817.0	17.8%

Note: Numbers may not add due to rounding. Upward revisions in **green**, downward revisions in **yellow** and new in **blue**. See our full model at the back of this report.

Cash & STI (in USD millions)

• 2023A	• \$126.9
• 2024A	• \$69.2
• 2025A	• \$57.8
• 2026E	• \$74.5
• 2027E	• \$130.7

Debt (in USD millions)

• 2023A	• \$60.0
• 2024A	• \$287.5
• 2025A	• \$197.5
• 2026E	• \$150.0
• 2027E	• \$100.0

Adj. EBITDA (in USD millions)

• 2023A	• \$116.8
• 2024A	• \$101.9
• 2025A	• \$142.9
• 2026E	• \$165.0
• 2027E	• \$184.0

Risks/Valuation

- Risks include a highly competitive business, and changes in customer demand.
- Our \$322 target is derived using a discounted future earnings model.

Company description: Bel designs, manufactures, and markets critical electronic components, systems and solutions for customers in aerospace, defense, industrial, and data-driven markets. Understanding that our customers face increasingly complex technical challenges, Bel delivers a comprehensive portfolio of solutions including power systems, high-reliability connectors and cable assemblies, circuit protection, and networking products that enable Original Equipment Manufacturers (OEMs) to bring their innovations to market. Bel partners closely with customers to deliver both customized and standard solutions tailored to their specific applications and performance requirements. With manufacturing facilities and technical support teams worldwide, Bel serves as a strategic partner to customers who require proven reliability in demanding end markets.

FIGURE 1 – BEL FUSE INC. – ONE-YEAR TRADING SNAPSHOT

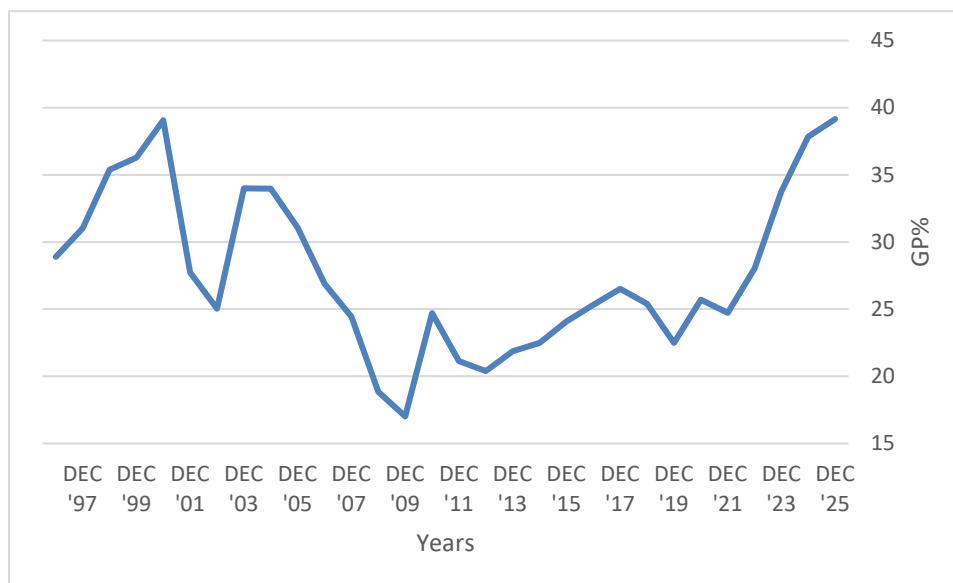


Source: FactSet

Another 39% GM quarter.

Remarkable transformation in the last five years and it continues on to 1Q26. Since 2021, the financial performance of the company has improved, and at the same time, the variability that was once an issue for the shares is a driving force. This is a recipe for stock outperformance. From 1996-2011, the company reported a declining gross profit with an average gross profit margin of 28% with a 6.4 percentage point standard deviation. From 2011-2020, the standard deviation improved to only 2.1 percentage points, but the average margin shrank to 24%. Since 2021, the margins have been rising steadily, hitting a record of 39.15% in 2025. Yes, the standard deviation over that period is back to 6 percentage points but unlike the 1996-2011 period, the margins are going up, not down, see Figure 2.

Figure 2 – Bel Fuse Inc. – Gross Profit Margins 1996 to present by year.



Source: Litchfield Hills Research and FactSet

Quarterly Results

Another better-than-expected quarterly report. Relative to consensus, 1Q26 results were better-than-expected. Revenue came in at \$178.5MM versus the consensus of \$172.1MM. Non-GAAP EPS came in at \$1.81 versus the consensus of \$1.62. From our viewpoint, we look at Net earnings not Earnings attributable to Bel Fuse shareholders, because those adjustments don't align with the day-to-day business of the company. Compared to our estimates (see Figure 3), GAAP EPS had a \$0.52 unfavorable variance. However, if you adjust for either the change in redeemable NCI or acquisition costs from the dataMate acquisition or both, the variance becomes favorable.

Figure 3 – Bel Fuse Inc. – Quarterly Variance (\$000 except per share)

	FY26 Q1E	FY26 Q1A	Better/(worse) than forecast
Total Revenue	\$166,000	\$178,491	\$12,491
Total cost of products sold	<u>102,920</u>	<u>108,893</u>	(5,973)
Total Gross Profit	63,080	69,598	6,518
Gross profit margin	38.0%	39.0%	
R&D	8,000	8,507	(507)
SG&A	\$30,500	\$36,730	(6,230)
Restructuring & Other One-Time Items	0	695	(695)
Total Expenses	<u>38,500</u>	<u>45,932</u>	(7,432)
Earnings (loss) from Operations	24,580	23,666	(914)
Total Other income/(expense)	<u>(3,000)</u>	<u>(5,874)</u>	(2,874)
Earnings before taxes	21,580	17,792	(3,788)
Tax expense/(benefit)	<u>4,316</u>	<u>2,808</u>	1,508
Net income	<u>\$17,264</u>	<u>\$14,984</u>	(\$2,280)
EPS Class B	1.43	0.91	(\$0.52)

Source: Litchfield Hills Research LLC

Valuation Methodology

We believe BELF is undervalued, and we support that belief with two different valuation techniques. To determine our target price, we use a discounted future earnings model. We look at absolute and relative valuation:

- 1) The discounted value of all future earnings was used to determine our price target (see Figure 4)
- 2) Valuation relative to peers

Discounted Future Earnings – Used for Price Target

For valuation purposes, we sum up all future earnings discounted at 7%. We assume an approximately modest growth in earnings, which declines to GDP in future years. Our valuation model is shown in Exhibit 4 below. Note, this model understates future new products and growth through acquisitions and likely understates the tax benefits, but offsetting that, the earnings never have a down year. The implied share price is \$322.64, which we round to \$322.

FIGURE 4 – BEL FUSE INC. – B-CLASS PRICE TARGET CALCULATION (\$'000 EXCEPT PER SHARE)

		Discounted sum of all Class B attributable income 3,405,122	Share Count 10,554	Implied Share Price \$322.64
Year 0 is 2026	Forecast Net Income	Discounted Net Income		
0	\$77,526	\$77,526		
1	88,871	83,447		
2	101,313	89,324		
3	113,471	93,937		
4	124,818	97,024		
Terminal Value		\$2,963,865		

Source: Litchfield Hills Research LLC

Valuation Relative to Peers

Bel Fuse shares have made a remarkable transition in valuation in little more than a year. As we do at the end of every quarter, we compared average peer multiples to BELFB, looking ahead to the next year. In the last two years, the shares have gone from trading at a discount to now trading at a slight premium to peers. The peer averages are also moving up, but BELF is moving up faster. We expect this is likely to continue given the change in gross margins. Details on each of the peers can be found in Figure 6.

FIGURE 5 – BEL FUSE INC. – DISCOUNT TO PEERS CURRENT AND RECENT PAST

2027 Metrics	Sales Multiple	EV / Sales	EV / EBITDA	PE
Average	4.31	4.47	20.49	32.17
BELF	4.68	4.96	23.13	30.38
Premium / (Discount) to peers	9%	11%	13%	(6%)

Source: Litchfield Hills Research LLC and FactSet

FIGURE 6 – BEL FUSE INC. – COMP TABLE

FactSet Ticker	Company Name	Closing Price	Market Cap \$MM	EV \$MM	2027 Consensus Multiples			
					Market Cap / Sales	EV /Sales	EV / EBITDA	PE
APH-US	Amphenol Corp.	\$142.30	174,948	197,805	4.67	5.28	16.27	25.72
DELTA-TH	Delta Electronics (Thailand) Public Co. Ltd.	\$9.69	120,921	120,388	11.91	11.85	62.03	91.34
TEL-US	TE Connectivity plc (US Listing)	\$207.43	60,548	65,885	2.83	3.09	11.34	16.34
6981-JP	Murata Manufacturing Co., Ltd.	\$32.80	64,381	56,337	4.60	4.02	12.66	23.92
HUBB-US	Hubbell Incorporated (Class B)	\$508.43	26,959	29,332	4.00	4.36	17.24	23.50
2327-TW	Yageo Corp (TW Listing)	\$10.00	20,740	22,373	3.66	3.93	11.65	16.29
AEIS-US	Advanced Energy Industries	\$389.05	14,795	14,905	5.93	5.97	26.09	35.76
LFUS-US	Littelfuse	\$407.08	10,243	10,425	3.59	3.65	15.32	26.50
6963-JP	Rohm Co Ltd	\$22.26	8,987	10,634	2.67	3.16	13.54	27.27
VICR-US	Vicor Corp	\$268.36	9,029	12,284	13.00	13.10	32.72	45.41
6976-JP	Taiyo Yuden Co Ltd (JP Listing)	\$39.21	5,106	5,902	1.93	2.23	8.95	21.36
VSH-US	Vishay Intertechnology	\$29.58	3,668	4,573	1.12	1.27		27.15
KN-US	Knowles Corporation	\$31.65	2,708	2,886	3.96	4.22	15.72	20.39
ROG-US	Rogers Corp.	\$134.44	2,400	2,240	2.56	2.39	13.77	30.61
CTS-US	CTS Corp	\$57.00	1,630	1,657	2.67	2.72	11.49	19.58
6707-JP	Sanken Electric	\$61.68	1,291	1,500	2.45	2.85	41.98	72.53
RFIL-US	RF Industries	\$14.74	159	178	1.66	1.87	17.00	23.18
AVERAGE					<u>4.31</u>	<u>4.47</u>	<u>20.49</u>	<u>32.17</u>
BELFB-US	Bel Fuse (Class B)	\$283.60	3,560	3,771	4.68	4.96	23.13	30.38
BELFB Discount to peers:					9%	11%	13%	-6%

Source: FactSet and Litchfield Hills Research LLC

FIGURE 7 – BEL FUSE INC. – INCOME STATEMENT (\$'000)

December ending year	2024A Year	2025A Year	2026E				2026E Year	2027E				2027E Year
			Q1A	Q2E	Q3E	Q4E		Q1E	Q2E	Q3E	Q4E	
Total revenue	\$534,792	\$675,455	\$178,491	\$200,000	\$205,000	\$197,000	\$780,491	\$197,000	\$205,000	\$215,000	\$200,000	\$817,000
<i>Growth</i>	-16%	26%	17%	19%	15%	12%	16%	10%	2%	5%	2%	5%
Cost of Goods	332,434	411,037	108,893	123,400	126,280	121,352	479,925	121,352	126,075	132,225	123,000	502,652
Gross Profit	202,358	264,418	69,598	76,600	78,720	75,648	300,566	75,648	78,925	82,775	77,000	314,348
Gross Margin	37.8%	39.1%	39.0%	38.3%	38.4%	38.4%	38.5%	38.4%	38.5%	38.5%	38.5%	38.5%
Research and Development	23,586	30,867	8,507	8,200	8,200	8,400	33,307	8,200	8,300	8,400	8,500	33,400
SG&A	\$110,616	\$125,828	\$36,730	\$33,000	\$33,000	\$33,500	\$136,230	\$33,500	\$34,000	\$34,000	\$34,000	\$135,500
% of total revenue	20.7%	18.6%	20.6%	16.5%	16.1%	17.0%	17.5%	17.0%	16.6%	15.8%	17.0%	16.6%
Restructuring & Other One-Time Items	\$3,794	(\$3,273)	\$695	\$0	\$0	\$0	\$695	\$0	\$0	\$0	\$0	\$0
Total Operating Expenses	137,996	153,422	45,932	41,200	41,200	41,900	170,232	41,700	42,300	42,400	42,500	168,900
Operating Income	64,362	110,996	23,666	35,400	37,520	33,748	130,334	33,948	36,625	40,375	34,500	145,448
Operating Margin	12.0%	16.4%	13.3%	17.7%	18.3%	17.1%	16.7%	17.2%	17.9%	18.8%	17.3%	17.8%
Total Other Items	(2,554)	(15,946)	(5,874)	(3,000)	(3,000)	(3,000)	(14,874)	(3,000)	(3,000)	(3,000)	(3,000)	(12,000)
Pre-Tax Income	61,808	95,050	17,792	32,400	34,520	30,748	115,460	30,948	33,625	37,375	31,500	133,448
Pre-Tax Margin	11.6%	14.1%	10.0%	16.2%	16.8%	15.6%	14.8%	15.7%	16.4%	17.4%	15.8%	16.3%
Taxes (benefit)	12,616	20,939	2,808	6,480	6,904	6,150	22,342	6,190	6,725	7,475	6,300	26,690
Tax Rate	20.4%	22.0%	15.8%	20.0%	20.0%	20.0%	19.4%	20.0%	20.0%	20.0%	20.0%	20.0%
Net Income (loss)	49,192	74,111	14,984	25,920	27,616	24,598	93,118	24,758	26,900	29,900	25,200	106,758
Net Margin	9.2%	11.0%	8.4%	13.0%	13.5%	12.5%	11.9%	12.6%	13.1%	13.9%	12.6%	13.1%
EPS Class A	\$3.09	\$5.83	\$1.18	\$2.04	\$2.17	\$1.93	\$7.32	\$1.36	\$2.11	\$2.35	\$1.98	\$8.39
EPS Class B	\$3.28	\$4.91	\$1.19	\$2.05	\$2.18	\$1.94	\$7.36	\$1.43	\$2.12	\$2.36	\$1.99	\$8.43
Class A diluted shares	2,124	2,115	2,115	2,115	2,115	2,115	2,115	2,115	2,115	2,115	2,115	2,115
Class B diluted shares	10,491	10,525	10,458	10,554	10,554	10,554	10,554	10,554	10,554	10,554	10,554	10,554

Source: Litchfield Hills Research LLC and Company releases

FIGURE 8 – BEL FUSE INC. – BALANCE SHEET (\$000)

December ending year	2027E	2026E	2025A	2024A	2023A
Balance sheet					
Current Assets					
Cash and S.T.I.	\$130,734	\$74,475	\$57,800	\$69,203	\$126,919
Accounts receivable	125,000	125,000	121,490	111,376	84,129
Inventories	175,000	180,000	167,270	161,370	136,540
Other assets	<u>42,000</u>	<u>40,000</u>	<u>38,201</u>	<u>31,581</u>	<u>33,890</u>
Total Current Assets	472,734	419,475	384,761	373,530	381,478
Net PP&E	48,000	48,000	48,428	47,879	36,533
Other non-current assets	<u>530,000</u>	<u>520,000</u>	<u>502,011</u>	<u>528,380</u>	<u>153,620</u>
Total Assets	<u>\$1,050,734</u>	<u>\$987,475</u>	<u>\$935,200</u>	<u>\$949,789</u>	<u>\$571,631</u>
Current Liabilities					
Accounts payable	\$60,000	\$55,000	\$52,900	\$49,182	\$40,441
Accrued expenses	65,000	50,000	50,000	50,000	54,657
Other current liabilities	<u>30,000</u>	<u>30,000</u>	<u>24,545</u>	<u>28,887</u>	<u>15,511</u>
Total current liabilities	155,000	135,000	127,445	128,069	110,609
Long-term debt	100,000	150,000	197,500	287,500	60,000
Other non-current	<u>170,000</u>	<u>180,000</u>	<u>184,743</u>	<u>173,644</u>	<u>60,464</u>
Total Liabilities	425,000	465,000	509,688	589,213	231,073
Stockholders' Equity					
Preferred stock					
Total stockholders' equity	<u>625,734</u>	<u>522,475</u>	<u>425,512</u>	<u>360,576</u>	<u>340,558</u>
Total Liabilities and equity	<u>\$1,050,734</u>	<u>\$987,475</u>	<u>\$935,200</u>	<u>\$949,789</u>	<u>\$571,631</u>

Source: Litchfield Hills Research LLC and Company releases

FIGURE 9 – BEL FUSE INC. – CASH FLOW (\$000)

	2027E	2026E	2025A	2024A
Net Income	\$106,758	\$93,118	\$74,111	\$49,192
Accounts receivable	0	(3,510)	(10,114)	(27,247)
Inventories	5,000	(12,730)	(5,900)	(24,830)
Other assets	(2,000)	(1,799)	(6,620)	2,309
PP&E	0	428	(549)	(11,346)
Other non-current	(10,000)	(17,989)	26,369	(374,760)
Accounts payable	5,000	2,100	3,718	8,741
Accrued expenses	15,000	0	0	(4,657)
Current maturities LTD	0	0	0	0
Other current liabilities	0	5,455	(4,342)	13,376
Long-term debt	(50,000)	(47,500)	(90,000)	227,500
Other non-current	(10,000)	(4,743)	11,099	113,180
Class A Common stock	0	2	1	(2)
Class B Common stock	0	0	(46)	(19)
Additional paid in capital	0	0	486	(12,746)
Accumulated other comp. loss	0	7,343	(6,116)	(4,736)
Dividend and tax adj.	(3,500)	(3,500)	(3,500)	(3,500)
Total Cash Flow	\$56,258	\$16,675	(\$11,404)	(\$57,716)

Source: Litchfield Hills Research LLC

Disclosures:

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Bel Fuse Inc.

BELFB Class B-Buy-\$322 PT

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